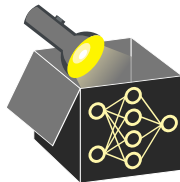
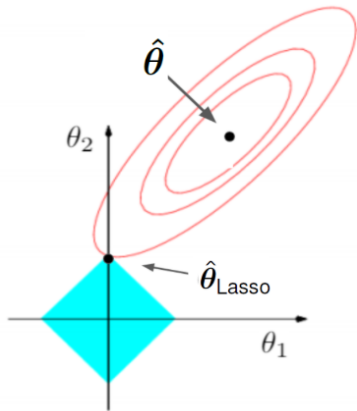


Interpretable Machine Learning



Interpretable Models 1

Extensions of Linear Regression Models



Learning goals

- Inclusion of high-order and interaction effects
- Regularization via LASSO

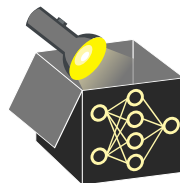
INTERACTION AND HIGH-ORDER EFFECTS

$$\text{LM Equation: } y = \theta_0 + \theta_1 x_1 + \theta_2 x_2 + \dots + \theta_p x_p + \epsilon$$

Equation above can be extended (polynomial regression) by including

- **high-order effects** which have their own weights
 $\rightsquigarrow$ e.g., quadratic effect: $\theta_{x_j^2} \cdot x_j^2$
- **interaction effects** as the product of multiple feat.
 $\rightsquigarrow$ e.g., 2-way interaction: $\theta_{x_i, x_j} \cdot x_i \cdot x_j$

Bike Data		
Method	R^2	adj. R^2
Simple LM	0.85	0.84
High-order	0.87	0.87
Interaction	0.96	0.93



INTERACTION AND HIGH-ORDER EFFECTS

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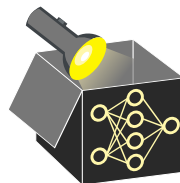
- **interaction effects** as the product of multiple feat.

~> e.g., 2-way interaction: $\theta_{x_i, x_j} \cdot x_i \cdot x_j$

Implications of including high-order and interaction effects:

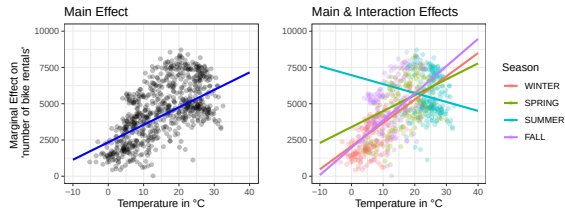
- Both make the model more flexible but also less interpretable
~> More weights to interpret
- Both need to be specified manually (inconvenient, sometimes infeasible)
~> Other ML models often learn them automatically
- Marginal effect of a feat. cannot be interpreted by single weights anymore
~> Feature x_j occurs multiple times (with different weights) in equation

Bike Data		
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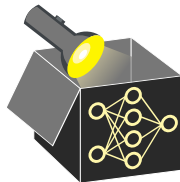


EXAMPLE: INTERACTION EFFECT

Ex.: Interaction between temp and season will affect marginal effect of temp

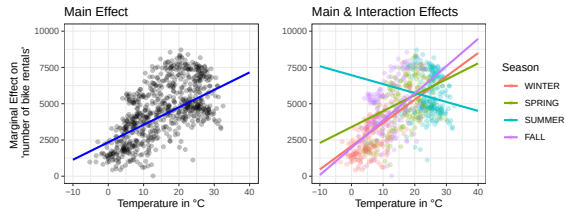


	Weights
(Intercept)	3453.9
seasonSPRING	1317.0
seasonSUMMER	4894.1
seasonFALL	-114.2
temp	160.5
hum	-37.6
windspeed	-61.9
days_since_2011	4.9
seasonSPRING:temp	-50.7
seasonSUMMER:temp	-222.0
seasonFALL:temp	27.2



EXAMPLE: INTERACTION EFFECT

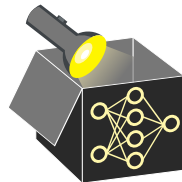
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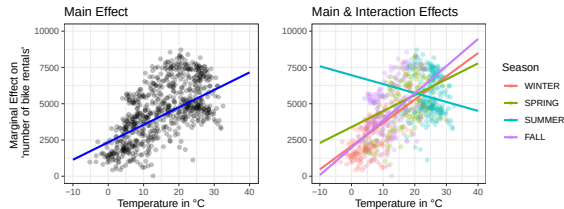
Interpretation: If temp increases by 1 °C, bike rentals

- increase by 160.5 in WINTER (reference)



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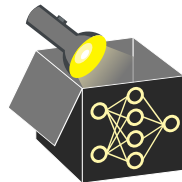
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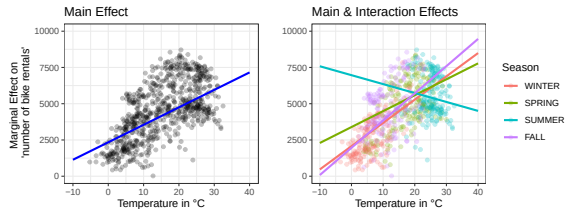
Interpretation: If temp increases by 1 °C, bike rentals

- increase by 160.5 in WINTER (reference)
- increase by 109.8 (= 160.5 - 50.7) in SPRING



EXAMPLE: INTERACTION EFFECT

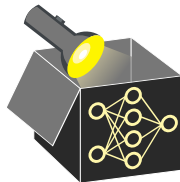
Ex.: Interaction between temp and season will affect marginal effect of temp



	Weights
(Intercept)	3453.9
seasonSPRING	1317.0
seasonSUMMER	4894.1
seasonFALL	-114.2
temp	160.5
hum	-37.6
windspeed	-61.9
days_since_2011	4.9
seasonSPRING:temp	-50.7
seasonSUMMER:temp	-222.0
seasonFALL:temp	27.2

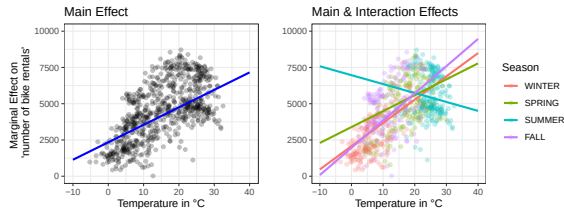
Interpretation: If temp increases by 1 °C, bike rentals

- increase by 160.5 in WINTER (reference)
- increase by 109.8 (= 160.5 - 50.7) in SPRING
- decrease by -61.5 (= 160.5 - 222) in SUMMER



EXAMPLE: INTERACTION EFFECT

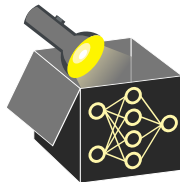
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seasonSUMMER	4894.1
seasonFALL	-114.2
temp	160.5
hum	-37.6
windspeed	-61.9
days_since_2011	4.9
seasonSPRING:temp	-50.7
seasonSUMMER:temp	-222.0
seasonFALL:temp	27.2

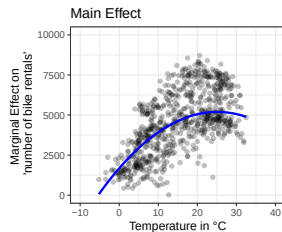
Interpretation: If temp increases by 1 °C, bike rentals

- increase by 160.5 in WINTER (reference)
- increase by 109.8 (= 160.5 - 50.7) in SPRING
- decrease by -61.5 (= 160.5 - 222) in SUMMER
- increase by 187.7 (= 160.5 + 27.2) in FALL

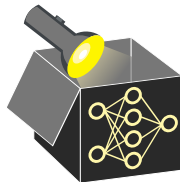


EXAMPLE: QUADRATIC EFFECT

Ex.: Adding quadratic effect for temp



	Weights
(Intercept)	3094.1
seasonSPRING	619.2
seasonSUMMER	284.6
seasonFALL	123.1
hum	-36.4
windspeed	-65.7
days_since_2011	4.7
temp	280.2
temp ²	-5.6

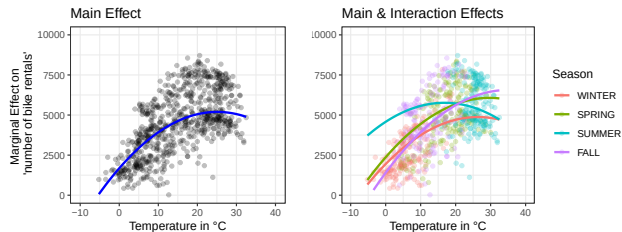


Interpretation: Not linear anymore!

- temp depends on two weights: $280.2 \cdot x_{temp} - 5.6 \cdot x_{temp}^2$

EXAMPLE: QUADRATIC EFFECT

Ex.: Adding quadratic effect for temp (left) and interaction with season (right)



	Weights
(Intercept)	3802.1
seasonSPRING	-1345.1
seasonSUMMER	-6006.3
seasonFALL	-681.4
hum	-38.9
windspeed	-64.1
days_since_2011	4.8
temp	39.1
temp ²	8.6
seasonSPRING:temp	407.4
seasonSPRING:temp ²	-18.7
seasonSUMMER:temp	801.1
seasonSUMMER:temp ²	-27.2
seasonFALL:temp	217.4
seasonFALL:temp ²	-11.3

Interpretation: Not linear anymore!

- temp depends on multiple weights due to season:

~ WINTER:

$$39.1 \cdot x_{temp} + 8.6 \cdot x_{temp}^2$$

~ SPRING:

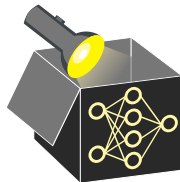
$$(39.1 + 407.4) \cdot x_{temp} + (8.6 - 18.7) \cdot x_{temp}^2$$

~ SUMMER:

$$(39.1 + 801.1) \cdot x_{temp} + (8.6 - 27.2) \cdot x_{temp}^2$$

~ FALL:

$$(39.1 + 217.4) \cdot x_{temp} + (8.6 - 11.3) \cdot x_{temp}^2$$



REGULARIZATION VIA LASSO

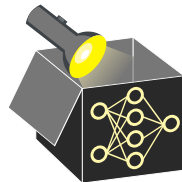
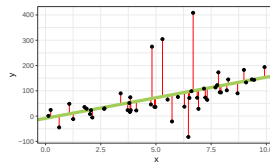
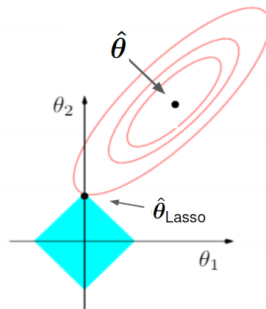
► Tibshirani 1996

- LASSO adds an L_1 -norm penalization term ($\lambda ||\theta||_1$) to least squares optimization problem

- ~> Shrinks some feature weights to zero (feature selection)
- ~> Sparser models (fewer features): more interpretable

- Penalization parameter λ must be chosen (e.g., by CV)

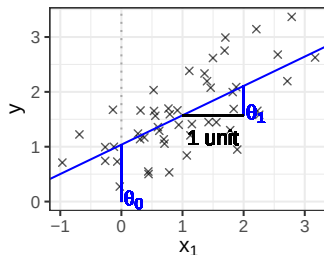
$$\min_{\theta} \left(\underbrace{\frac{1}{n} \sum_{i=1}^n (y^{(i)} - \xi^{\top} \theta)^2}_{\text{Least square estimate for LM}} + \lambda ||\theta||_1 \right)$$



REGULARIZATION VIA LASSO ► Tibshirani 1996

Example (interpretation of weights analogous to LM):

- LASSO with main effects and interaction temp with season
- λ is chosen $\rightsquigarrow$ 6 selected features ($\neq 0$)
- LASSO shrinks weights of single categories separately (due to dummy encoding)
 $\rightsquigarrow$ No feature selection of whole categorical features (only w.r.t. category levels)
 $\rightsquigarrow$ Solution: group LASSO ► "Yuan and Lin" 2006



	Weights
(Intercept)	3135.2
seasonSPRING	767.4
seasonSUMMER	0.0
seasonFALL	0.0
temp	116.7
hum	-28.9
windspeed	-50.5
days_since_2011	4.8
seasonSPRING:temp	0.0
seasonSUMMER:temp	0.0
seasonFALL:temp	30.2

